

COO pitch deck

PITCH — COO — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy Cooper Companies (COO, \$72.21) today; stay flat through the September 9 earnings report, then buy a 0.5%-of-book starter only if one of two named triggers fires — because both of our own benches independently landed on a fair-value range that spot already sits inside, and the original bull case's headline argument turned out to be a reading error.

What we believe

Cooper Companies makes contact lenses (CooperVision, roughly two-thirds of revenue) and fertility/women's-health products (CooperSurgical). The stock is \$72.21 against a 52-week high of \$89.83 and a low of \$58.89 — down about 20% from the high, but already up about 23% off the low. It is in the middle of its own range, not at a panic price.

What we actually believe, stated plainly:

1. **The business is not in trouble.** The claim that started this review — that cash generation had collapsed — is false. It came from reading a quarterly press-release figure as if it were the six-month total. The filed 10-Q shows six-month operating cash flow of \$443.7M and capital spending of \$188.6M, so free cash flow of \$255.1M versus \$119.3M in the same period a year earlier. Cash flow more than doubled.
2. **The balance sheet is not tight either.** Cash of \$138.8M against \$598.9M of short-term debt looks alarming until you notice \$1,383.0M of undrawn, committed borrowing capacity that runs to May 2029. The \$550M loan due December 2026 is refinancable inside a facility that outlives it by three years.
3. **But it is not cheap.** This is the finding that survives. The company's "adjusted" earnings of about \$4.62 per share are not cash you could take out of the business. Contact-lens manufacturing consumes roughly 8.5–9% of revenue in equipment and molds every year — capital spending runs at about twice depreciation. Convert to what an owner actually keeps and you get roughly \$2.20–\$3.10 per share, which is 23–33 times cash earnings, a 3–4% owner's yield. The company earns about 11% on its \$8,239.1M of book equity.
4. **The growth that justified the old, higher multiple is gone.** Management guides 3.5–4.5% organic growth. Inside the lens business, the larger commodity half (spheres and other, \$358.6M) grew 1% organically, and Asia-Pacific fell 6%. The higher-margin toric/multifocal half grew 7%, so the mix is improving — but the blended rate is mid-single-digit, not high-single-digit.

So: a decent, durable, cash-generative franchise, priced at about what it is worth. Our two benches built fair-value ranges of \$74–79 and \$68–76. Spot is inside both. **We own this at fair value as ballast, or not at all. We do not own it as a bargain.**

What the market believes

The market believes roughly the same thing we do, which is the uncomfortable part of this pitch.

Analysts expect about \$1.12–1.14 in earnings on about \$1.10B of revenue for the quarter reporting September 9. The stock has de-rated from about 30x earnings to about 15x. The market’s implicit story is: *good business, permanently slower, so it deserves a lower multiple*. Nothing in our work contradicts that story. Our fair value is essentially the market’s price.

One thing the market is **not** doing is pricing a crisis. The stock is 23% above its low. There is no forced seller, no distress spread, no capitulation.

Why we might have edge

Honestly: thin, and mostly defensive rather than offensive.

- **We know one popular bear argument is arithmetically wrong.** Anyone repeating “Cooper’s free cash flow collapsed to \$96M and conversion is 21%” is reading a quarterly press-release line as a year-to-date total. If that framing has any hold on sentiment, it is fragile in our favor. We do not know that it does.
- **We know the “cheap on 15x earnings” bull argument is also wrong,** for the mirror-image reason: the adjusted-earnings bridge adds back acquisition amortization while real capital spending runs at twice depreciation. Knowing both sides are wrong keeps us from paying up on a bad reason — that is edge against ourselves, not against the market.
- **One structural observation neither side seems to net out:** a single currency move is doing three jobs in this company’s guidance at once. It lifts reported revenue about 1.5 points above organic, it holds gross margin at 68%, and it is explicitly what offsets tariff costs (“positive FX offsetting higher costs including tariffs”). Models typically treat that as one adjustment. A dollar rally hits all three lines simultaneously. That is an asymmetry the consensus model probably under-weights — but it argues for *caution*, not for buying.

There is no proprietary data edge here. Our independent-data checks came back empty or unusable (details in “What remains unverified”).

Why it might be priced in

Almost certainly it is. Specifically:

- Three separate banks and the whole sell-side follow this name; it is an S&P 500 component with full analyst coverage. There is no discovery gap.
- Our fair-value estimate is anchored on management’s own published guidance (\$4.285–4.321B revenue, \$4.58–4.66 adjusted EPS, 3.5–4.5% organic). We did not build a materially independent forecast. Copying the guide and calling the result a valuation is transcription, not analysis — one of our benches called this out and the other conceded it.

- The de-rating from 30x to 15x is not an error the market will correct; it is the market correctly repricing a slower growth rate. Betting on the multiple recovering *without* the growth rate recovering is the unstated assumption in every bull case here, including the original one, and nothing supports it.
- The lawsuit overhang (embryo culture media recall, 140+ suits, three proposed class actions, \$324.1M accrued) is disclosed and public. Everyone can read it.

What could go wrong

The three most likely ways this loses money.

1. We buy a value trap — the multiple keeps compressing because the growth keeps compressing. (*Has a tripwire.*) The commodity half of the lens business is at 1% organic and Asia-Pacific is at -6%. If that is share loss rather than deliberate product rationalization, the next two quarters take organic growth below 3.5%, the guide gets cut, and 15x becomes 12x on a lower number — roughly 25–30% downside toward the \$58.89 low. Tripwire: quarterly organic growth in the sphere/other line, and Asia-Pacific direction, both reported every quarter.

2. The currency reverses and takes three things at once. (*Has a tripwire.*) A dollar rally removes ~1.5 points of reported revenue growth, pressures the 68% gross margin, and simultaneously un-offsets tariff costs. Consensus would model this as one small adjustment and be wrong by a multiple of it. Tripwire: the dollar index plus the reported-versus-organic gap in each release; also the gross-margin line versus the 68% anchor.

3. The fertility franchise loses clinic trust and we cannot see it happening. — NO MONITORABLE TRIPWIRE. Fertility is the only double-digit grower (+10% organic, \$143.8M) and it is the same product line as the embryo-culture-media recall. Reported revenue currently shows zero damage, which is genuinely reassuring, and none of the three proposed class actions has been certified. But IVF clinics choose media through private, relationship-driven purchasing; a reputational shift shows up as clinics quietly not re-ordering, and we would first learn about it in a revenue print six to nine months after it began. **We looked for a way to monitor this and there is none available to us** — clinic-level share data is not published, our customs-shipment connector returned zero bills of lading for the relevant plants, and no public series proxies it.

Unknown-unknown class named: private-channel share erosion with no public denominator. This is the category of risk where the harm happens entirely inside a distribution channel that publishes nothing — no registry, no shipment record, no pricing tape — so the first observable is the damaged financial itself. We should assume that every position with a professional-relationship sales channel carries a version of this and that we cannot instrument it. Related unmonitorable exposures on this name: manufacturing concentration in a single Puerto Rico site through Atlantic hurricane season (we could not run the hazard model — the only coordinate we had was a territory centroid, not a parcel), and an unaccrued UK tax dispute of £0–£71.7M plus interest that both benches initially missed and that resolves on the tax authority's schedule, not ours.

The reflexive and structural leg — our own footprint and our own rules.

- **Our size is not the risk.** A 0.5% starter in an S&P 500 name trading tens of millions of dollars a day is invisible; we will not move this price and we have no exit-liquidity problem. (Caveat: we did not verify average daily volume this session — see unverified.)
- **Our doctrine interactions are the risk.** This name arrives at the door as “ownable at fair value,” and we have a standing rule that a flat verdict requires a *named* kill, which nobody here produced. That rule is correct in isolation, but applied repeatedly it fills the book with fairly-priced quality carry and quietly spends capacity that was supposed to fund actual edge. The honest framing is: this is a substitute for cash, not a substitute for a good idea. If the COO wants ballast, this qualifies; if the COO wants return, it does not.
- **A second interaction:** the rule against resting orders into an earnings print is doing real work here and should not be waived. Five sessions to the report, no informational advantage, no company-issued quarterly number to fade — placing a limit order now is an accidental bet on the print.
- **A third:** our “pay up modestly for verified quality” allowance is not available on this name, because fair value here is only as verified as management’s guidance, which we did not independently rebuild. No pay-up above the overlap of the two benches’ ranges.

If this position loses money, the most likely reason will be that we paid a full price for a fairly-valued business on the theory that its multiple would recover, when in fact the multiple fell because the growth rate fell — and the growth rate kept falling.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Free cash flow collapsed; 21% conversion” (the original bull-brief’s headline bear-kill)	Compared 8-K press release text to the 10-Q six-month cash-flow statement	The \$182.8M / \$86.4M / \$96.4M figures are the quarter . Six-month totals: OCF \$443.7M, capex \$188.6M, FCF \$255.1M vs \$119.3M prior year — cash flow doubled	REFUTED — the claim was a reading error
“Cash calls are near-dated; \$138.8M cash vs \$598.9M short-term debt”	10-Q debt note	True but incomplete: \$2,300.0M revolver commitment, \$911.7M drawn, \$1,383.0M available to May 2029 ; \$550M term loan due Dec 2026 sits inside it	REFUTED — not a cash call
The proposed decision gate (“9-month FCF $\geq$ \$350M = buy, $<$ \$250M = decline”)	Recomputed the same gate on the last two fiscal years	FY24 9-month FCF \$160.0M, FY25 \$283.8M — the buy bar was never cleared in two healthy years and the decline floor was breached in a healthy one. The gate could not return a valid answer	CONFIRMED broken — gate struck
“15x earnings is a decade-low multiple, so it’s mispriced”	Rebuilt on cash: capex vs depreciation, amortization add-back	Capex $\approx$ 2 $\times$ depreciation (\$188.6M vs \$95.4M in the half); $\sim$ \$0.83/sh of the \$4.62 is amortization add-back. Owner earnings $\approx$ \$2.20–3.10/sh $\rightarrow$ 23–33 $\times$	CONFIRMED — the cheapness is an accounting artifact

Claim	How checked	Found	Confirmed?
“Growth is really just currency and acquisitions”	Segment and geographic detail in the press release	Half true. Sphere/other +1%, Asia-Pac –6% — but toric/multifocal +7%, Americas +7%, EMEA +6% are already organic, and the 3.5–4.5% guide is stated organic. Mix is shifting toward the better half	PARTLY — overstated
Fertility litigation is damaging the clinic channel	Fertility revenue trend, ~30 months post-recall; litigation note	Fertility +10% organic, \$143.8M — the only double-digit grower. No class certified; settlements cover >95% of claimants. No damage visible in the one metric that would show it	REFUTED on available evidence — but see pre-mortem #3: the metric may lag by quarters
Reported GAAP tax rate of 63.2% signals something structural	10-Q tax discussion	The filing attributes it primarily to a one-time item — the \$271.6M litigation charge and its \$42.8M discrete benefit — not an ongoing rate problem	REFUTED
Is the September 9 report date real?	Company release-date announcement, corroborated two ways	Confirmed by the company’s own release-date notice and independently by two calendars	CONFIRMED
Return on capital	10-Q balance sheet vs normalized earnings	Equity \$8,239.1M, ~\$900M normalized earnings → ~ 11% return on equity on a 68%-gross-margin business carrying \$2,460.2M of debt. Respectable, not exceptional	CONFIRMED — and this, not the multiple, is the real quality question
A second, unaccrued legal tail	10-Q contingencies	UK tax dispute, £0–£71.7M plus interest (~\$0–96M+), under appeal, separate from the \$324.1M recall accrual	CONFIRMED — missed by the original brief AND by our first bench
OUR OWN BENCH ERRED: the price we were arguing about	Recomputed from the evidence pack’s own tape	Our first bench wrote “\$70.09, down 22%, up 19% off the low.” The pack says \$72.205, down 19.6%, up 22.6% — a stale price and the two ratios transposed. This matters: at \$70.09 the name looked ~8% below fair value; at \$72.205 it is dead center	BENCH ERROR — corrected
OUR OWN BENCH ERRED: the replacement decision gate	Tested the new gate against actual capital spending	The first bench replaced a broken gate with “capital spending guided toward 6% of revenue” — while capex is <i>up 12.6% year over year</i> at ~8.8% of revenue. Right diagnosis, unreachable prescription	BENCH ERROR — gate replaced again
OUR OWN BENCH ERRED: “consensus \$1.12–1.14 vs company guide \$1.20”	Looked for the company’s quarterly guidance	The company issued no quarterly guidance. Only full-year figures exist. The “coin flip between two numbers” framing had only one number in it	BENCH ERROR — framing withdrawn
OUR OWN BENCH ERRED: disclosure of which checks were run	Audited the list of automated checks reported	The first bench listed two checks that were never assigned and omitted four that were. All four, when run, came back not-applicable — no finding was lost, but the reporting was wrong	BENCH ERROR — process defect, no impact on conclusion
NEITHER BENCH DID: build an	—	Both fair-value ranges are anchored on management’s published guidance. We	NOT DONE — acknowledged gap

Claim	How checked	Found	Confirmed?
independent earnings forecast		criticized the original brief for transcribing the guide and then largely transcribed it ourselves	

PROPOSED ENTRY BANDS

Today: no entry. Flat into the September 9 report. Five trading sessions away (September 7 is a holiday). We have no informational advantage into the print, and there is no company-issued quarterly number for consensus to be wrong about. A limit order sitting through the print is an unintentional bet on the print.

Post-print entry — 0.5% of book, and only if one of these two is true:

- **Trigger A (fundamental):** nine-month operating cash flow $\geq$ **\$700M** *and* nine-month capital spending $\leq$ **\$300M**. That combination puts the owner's yield above 4.5% and makes the "expensive on cash" finding wrong. Buy at market up to **\$76**.
- **Trigger B (price):** an in-line print and the stock at $\leq$ **\$66**. That is a ~9% discount to the current price and below both benches' fair-value ranges — paid risk, not fair risk. Buy at market.

Add: one further 0.5% (to a 1.0% maximum) only at $\leq$ **\$62** *and* only if Trigger A's cash test also holds at the following quarter. \$62 is ~14% below spot and near the region where the drawdown becomes a real dislocation rather than a mid-range wobble.

Do not buy if: the print is in-line, the stock is at \$72 or above, and capital spending is still running near 8.8% of revenue. That is the current state of the world and it is a re-court, not an automatic purchase.

Trim / exit rules (for the position if it exists): - Trim to zero above **\$79** — that is above the top of both fair-value ranges; there is no thesis that supports holding a fairly-valued compounder at a rich price. - Exit on a cut to the organic growth guide below 3.5%, or capital spending guided above 9% of revenue. Either one confirms pre-mortem #1. - Exit on class certification in any of the three fertility suits, or a recall-accrual true-up above \$324.1M.

Sizing rationale: 0.5% starter, 1.0% hard cap. This is fair-value carry, not an edge position. No pay-up allowance applies, because our fair value inherits management's guidance rather than an independent build.

Catalyst dates: - **2026-09-09 — Q3 FY26 earnings. CONFIRMED** (company release-date announcement, corroborated by two independent calendars). - **~2026-09-11 (approximate, unconfirmed)** — Q3 10-Q, which carries the nine-month cash-flow statement that Trigger A tests. The press release will *not* contain it in cumulative form; this is exactly the trap the original brief fell into. - **December 2026 (exact date unconfirmed)** — \$550M term loan A matures. Expect a refinance inside the existing revolver; a failure to refinance cleanly would be new information. - **~December**

2026 (unconfirmed) — Q4 print and first FY27 guidance. An organic guide of $\geq 6\%$ with a named driver would change the whole valuation case.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 62.0 (deck-provisional: Add level, $\sim 14\%$ below spot; only with the owner-yield cash test also passing)
- filing watch: 8-K until 2027-02-27 (deck-provisional: Q3 FY26 earnings release $\sim 2026-09-09$: segment organic growth, Asia-Pac direction, 68% gross margin, FX)
- dated pack COO|2026-09-09: COO: Q3 FY26 earnings print; company-announced release date, corroborated by two independent calendars (date confirmed=True)
- dated pack COO|2026-09-11: COO: Expected Q3 FY26 10-Q with the 9-month cash-flow statement; date estimated from prior filing cadence (date confirmed=False)
- dated pack COO|2026-12-01: COO: \$550M term loan A matures; expected refinance inside the \$1,383.0M available 2029 revolver; exact date not verified (date confirmed=False)
- dated pack COO|2026-12-10: COO: Expected Q4 FY26 print and first FY27 organic guide; $\geq 6\%$ with a named driver would change the valuation case; date estimated (date confirmed=False)

What remains unverified

1. **We never built our own earnings number.** Both fair-value ranges lean on management's published FY26 guidance. We flagged this as a flaw in the original brief and then reproduced it. Until we build an independent forecast, "fair value \$68–79" means "management's number, discounted at a multiple we chose."
2. **No live price.** Neither bench could re-quote the stock independently — the brokerage market-data permission was not available in this session. Everything here is anchored to a single cached print of \$72.205. One bench already got this wrong by using a stale \$70.09 and transposing two ratios.
3. **Tariff and country-of-origin exposure is only partly evidenced.** The connector that would size the exposure of the UK/EU-origin lens mix against the 66% gross-margin guide **failed to load** — an infrastructure fault, not a finding. We are relying on management's own statement that currency is offsetting tariff costs. That is the company grading its own homework on the exact line item pre-mortem #2 says is fragile.
4. **No independent shipment data.** The customs connector resolved the company but returned zero bills of lading for the UK, Hungary and Costa Rica plants — so we have no outside read on inventory or production volume. (This mattered less than feared, because the cash-flow question it was meant to answer was settled by the filed statement.)
5. **No clinic-level or distributor-level share data** for either the lens business or fertility. This is why pre-mortem #3 has no tripwire and why we cannot yet distinguish "deliberate product

rationalization” from “share loss” in the –6% Asia-Pacific and +1% sphere lines.

6. **Physical-site risk is unquantified.** The hazard model needs a parcel or census-tract identifier; the only coordinate available was a territory centroid. Single-territory lens manufacturing through peak Atlantic hurricane season remains an unbounded (historically survivable) tail we have not sized.
7. **Average daily trading volume not verified this session.** The claim that a 0.5% position is liquidity-irrelevant is near-certainly true for an S&P 500 name but was not checked.
8. **The nine-month cash-flow figures behind Trigger A do not exist yet** and will not appear in the September 9 press release — only in the subsequent 10-Q. Anyone acting on Trigger A off the press release will be repeating the exact error that started this review.

Primary source of record: [10-Q, fiscal Q2 2026, filed 2026-06-05](#) — the six-month cash-flow statement, the \$1,383.0M available revolver, \$8,239.1M equity, D&A of \$190.9M, and the £71.7M UK tax exposure all come from this document. Supporting: [8-K Exhibit 99.1, Q2 FY26 press release](#) (segment organic growth, the quarterly free-cash-flow wording, the currency/tariff sentence) and the SEC XBRL series for [operating cash flow](#) and [capital expenditures](#). All SEC documents were retrieved through a text proxy; direct sec.gov requests returned 403 again this session.

```
{"price_gates": [{"level": 66.0, "direction": "below", "basis": "Trigger B entry: below both benches' FV ranges ($68-76 / $74-79); paid risk rather than fair risk"}, {"level": 62.0, "direction": "below", "basis": "Add level, ~14% below spot; only with the owner-yield cash test also passing"}, {"level": 79.0, "direction": "above", "basis": "Trim-to-zero: above the top of both FV ranges; no thesis supports holding a fair-value compounder rich"}], "event_gates": [{"forms": ["8-K"], "why": "Q3 FY26 earnings release ~2026-09-09: segment organic growth, Asia-Pac direction, 68% gross margin, FX/tariff commentary"}, {"forms": ["10-Q"], "why": "Only venue for the 9-month cash-flow statement that Trigger A tests (OCF >= $700M with capex <= $300M); the press release quotes quarterly figures only"}, {"forms": ["8-K", "10-Q"], "why": "Fertility litigation: class certification, recall accrual move above $324.1M, or claimant-count change"}, {"forms": ["10-Q"], "why": "UK tax dispute contingency note, GBP 0-71.7M unaccrued plus interest; disclosed nowhere else"}], "catalyst_dates": [{"date": "2026-09-09", "what": "Q3 FY26 earnings print; company-announced release date, corroborated by two independent calendars", "confirmed": true}, {"date": "2026-09-11", "what": "Expected Q3 FY26 10-Q with the 9-month cash-flow statement; date estimated from prior filing cadence", "confirmed": false}, {"date": "2026-12-01", "what": "$550M term loan A matures; expected refinance inside the $1,383.0M available 2029 revolver; exact date not verified", "confirmed": false}, {"date": "2026-12-10", "what": "Expected Q4 FY26 print and first FY27 organic guide; >=6% with a named driver would change the valuation case; date estimated", "confirmed": false}], "immediate_entry": null}
```